IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

CP (CAA) No.20/BB/2018
U/ss 230 to 232 & other applicable
Provisions of the Companies Act, 2013
R/w Companies (CAA) Rules, 2016

IN THE MATTER OF

SCHEME OF AMALGAMATION

BETWEEN

M/s. Shriram Chits Pvt. Ltd.
Regd. Off: 44, Sarojini Devi Road,
Secunderabad – 560 003. - Transferor Company No.1

AND

M/s. Shriram Chits (Maharashtra) Ltd.
Regd. Off: Wockhardt Towers,
Level 2, East Wing, C-2, G Block,
Bandra Kurla Complex, Bandra East,
Mumbai – 400 051. - Transferor Company No.2

AND

M/s. Shriram Chits Tamil Nadu Pvt. Ltd.
Regd. Off: 123,
Angappa Naicken Street,
Madras – 600 001. - Transferor Company No.3

WITH

M/s. Shriram Chits (Karnataka) Pvt. Ltd.
Regd. Off: Akshodaya,
259/31, 1st Floor,
10th Cross Wilson Garden,
Bangalore – 560 027. - **Petitioner/ Transferee Company**

AND

THEIR RESPECTIVE SHAREHOLDERS

Date of Order: 08th January, 2021

Coram: 1. Hon'ble Shri Rajeswara Rao Vittanala, Member (Judicial)
2. Hon'ble Shri Ashutosh Chandra, Member (Technical)

Parties/Counsels Present (Through Video Conference):

For the Petitioner	:	Mr. KG Raghavan (Senior Counsel) with Mr. Avinash Balachandran (Adv.)
For the ROC/RD	:	Smt. Prema Hatti, (Standing Counsel)
For the IT	:	Mr. Ganesh R Ghale (Standing Counsel)

ORDER

Per: Ashutosh Chandra, Member (Technical)

1. The present Petition has been filed by M/s. Shriram Chits (Karnataka) Pvt. Ltd. ('Petitioner Company / Transferee Company') under Sections 230 to 232 and other applicable Provisions of the Companies Act, 2013 R/w Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 by *inter alia* seeking that the Scheme of Amalgamation be sanctioned by this Tribunal, so as to be binding on the Transferor Companies and the Transferee Company, all Equity Shareholders of Transferor Companies and all Equity Shareholders and Preference Shareholders of the Transferee Company, etc.

2. Brief facts of the case, as mentioned in the Company Petitions, are as follows:

(1) **M/s. Shriram Chits (Karnataka) Pvt. Ltd.** is a Private Limited Company incorporated on 09.01.1990 under the Companies Act, 1956 under the name and style of *'Shriram Chits (Bangalore) Pvt. Ltd.'* in the State of Karnataka. Subsequently, the name of the Company was changed to *'Shriram Chits (Karnataka) Pvt. Ltd.'* on 24.02.2003, bearing CIN: U65992KA1990PTC 010662. Its Authorised Share Capital as on 31.03.2017 is Rs.5,00,00,000 divided into 5,00,000 Equity Shares of Rs.100 each and its Issued, Subscribed and fully Paid-up Share Capital is Rs.4,00,00,000 divided into 4,00,000. Subsequent to 31.03.2017 there is no change in the capital structure of the Petitioner Company. The Company is engaged in the business of conducting Chit Funds or Kuries and similar kinds of Chits.

(2) The Board of Directors of the Transferee Company at its meeting held on 16.08.2017 have approved and adopted the Scheme of Amalgamation and *inter alia* resolved as under:

*"**RESOLVED THAT** pursuant to the provisions of Section 230 to 232 of the Companies Act 2013, and all other applicable provisions, if any of the said Act, (including any statutory modification or re-enactment thereof, for the time being in force) and Objects Clause of the Company's Memorandum of Association and subject to the approval by the requisite majority of the Members of the Company, and as directed by the Hon'ble National Company Law Tribunal, and further subject to the consents, approvals and permissions being obtained from the appropriate authorities to the extent applicable or necessary, the consent of the Board be and is hereby accorded for the Scheme of Amalgamation of Shriram Chits Private Limited, Shriram Chits (Maharashtra) Limited & Shriram Chits Tamil Nadu Private Limited with Shriram Chits (Karnataka) Private Limited."*

(3) Further, the Transferor Companies 1, 2 and 3 do not fall within the jurisdiction of this Tribunal. The Board of Directors of the said Transferor Companies have at their respective meetings, approved this Scheme.

(4) The Rationale for the proposed Scheme inter alia is as follows:

a) *The Transferor and the Transferee Company are all incorporated with the same/similar objects, and carry on the same line of business namely conduct of the business of Chit Funds, Kuries, and similar kinds of chits.*

b) *The three Transferor Companies and the Transferee Company are all part of the same group. The Shareholders of all of these Companies are common.*

c) *Being Companies forming part of the same group, with common shareholding, amalgamation of these companies would enable consolidation and lead to a more efficient utilization of capital, and create a consolidated base for the future growth of the amalgamated entity.*

d) *The combined entity after the amalgamation would have the necessary size, and bandwidth with large chit businesses across the country, and enable it to leave a much stronger and more significant footprint in this line of business.*

(5) It is stated that on the Scheme coming into effect, in consideration of the transfer of and vesting of the undertaking of the Transferor Companies in

the Transferee Company in terms of this Scheme, the Equity Shareholders of the Transferor Companies will be allotted shares in the Transferee Company in lieu of the shares held by them in the respective Transferor Companies. The share exchange ratio as set out in the Scheme has been arrived at by an independent Chartered Accountant and approved by the Board. All of the Shareholders of the Transferor Companies 1, 2 and 3 and the Transferee Company have also unanimously accepted the Share Exchange ratio as being fair.

(6) It is also stated that the proposed Scheme will be beneficial to the Transferor Companies 1, 2 and 3 and the Transferee Company and will result in better and more efficient operation of the Companies, and will be beneficial to the Shareholders of the various Companies.

(7) The Scheme also proposes the shifting of the Registered Office of the Transferee Company from the State of Karnataka to the State of Tamilnadu, and a change in the name of the Transferee Company from *Shriram Chits (Karnataka) Pvt. Ltd.* to *Shriram Chits (India) Pvt. Ltd.*

(8) It is stated that the requirement of sending notice / intimation of the Petition / Scheme to the Competition Commission of India does not arise, since the Asset and Turnover thresholds stipulated u/s 5(c) of the Competition Act 2002, as amended, will not be met by the Transferee Company, or by the group to which the Transferee Company would belong, both within and outside India, subsequent to the amalgamation in the instant case. Further, the proposed merger is an intra group merger with no change of control form joint to sole. Also, neither the approval of SEBI nor any Stock Exchange is required, since none of the Petitioner Companies have their securities listed on any Stock Exchange.

(9) The proposed Scheme is sought to be made under the provisions of Sections 230 to 232 of the Companies Act, 2013 and other relevant provisions of the Act and also the Rules made there under and the same if sanctioned by this Tribunal, will take effect from 01st April 2017, being the "Appointed Date". Under the proposed Scheme, the entire assets and

liabilities of the Transferor Companies will be taken over by the Transferee Company from the Appointed Date as a going concern.

(10) The Equity Shares of the Transferee Company are not listed on any Stock Exchange. The provisions of Sections 5 and 6 of the Competition Act, 2002 are not applicable to the Transferee Company. The Transferee Company does not have any debenture holders. Therefore, the question of the Scheme affecting the interests of the debenture holders and its effect on the material interests of the trustees of the debenture trust deed does not arise. Further, none of the Directors of the Transferee Company are interested in the Scheme save and except to the extent of their shareholding in the Transferee Company.

(11) It is stated that the Transferor and Transferee Companies are all incorporated with the same/similar objects and carry on the same lines of business namely conduct of the business of Chit Funds, Kuries, and similar kind of chits. They are all part of the same Group. The shareholders of all these Companies are common and that the shareholders of the Transferee Company subsequent to the implementation will remain the same.

(12) M/s. V. Narayanan & Co., Chartered Accountants of Transferee Company, vide Certificate dated 10.08.2017, have certified that the accounting treatments is in accordance with the provisions of Section 133 of the Companies Act, 2013.

(13) It is stated that the Transferee Company has no investigation proceedings initiated or pending against it under the provisions of the Companies Act, 1956 or the Companies Act, 2013. The Transferee Company does not have any debenture holders.

3. It is stated that the Petitioner Company herein had filed Company Application bearing CA (CAA) No.78/BB/2017 before this Tribunal seeking dispensation of the convening of the meeting of the Equity Shareholders of the Applicant / Transferee Company for purposes of considering the Scheme of Amalgamation etc. The Tribunal vide Order dated 15.01.2018 has dispensed with convening the meeting of the Equity Shareholders, Secured Creditors and Unsecured Creditors of the Applicant/Transferee Company.

4. The Tribunal vide its Order dated 04.04.2018 directed the Petitioner to issue Notice prepared by the Registry to the Regional Director (SER), Hyderabad, the Registrar of Companies Karnataka, Income Tax Department, the Office of Official Liquidator, the Reserve Bank of India and to file proof of the same and also permitted to cause paper publication with regard to the notice of the Petition. Pursuant thereto, the Petitioner vide Affidavit dated 30.04.2018 affirmed compliance of the Order passed by the Tribunal dated 04.04.2018 and also caused paper publication in 'The Hindu' and 'Udayavani' on 25.04.2018.

5. Earlier, the Tribunal vide Order dated 17.12.2018 has disposed of the instant Petition with liberty to approach the Tribunal after getting prior approval for all objections raised therein, especially, the approval from the Registrar of Chits after furnishing the Scheme, and all the documents pertaining to the Scheme. Aggrieved by the Order of this Tribunal dated 17.12.2018, all three Transferor Companies and Transferee Company have filed Company Appeal (AT) No.86 of 2019 before the Hon'ble NCLAT. The Hon'ble NCLAT vide Order dated 03.12.2019 has set aside the impugned order dated 17.12.2018 with a direction to this Tribunal to pass appropriate order approving the Scheme of Amalgamation / Merger u/s 230-232 of the Companies Act, 2013 with such condition as required to be imposed in terms of any law including 'The Chit Funds Act, 1982' taking into consideration the Appellant-Transferee Company otherwise fulfils the conditions and if so required may allot the Appellant/Parties to take consent of the foreman and all the subscribers to the chits in terms of Section 15 of the Chit Funds Act, 1982; approval of the registration of chits in terms of Section 19 of the Chit Funds Act, 1982 which prohibits persons from carrying on chit business in a new place of business without obtaining prior approval of the concern registry of chits.

6. Subsequently, the Tribunal vide its Order dated 20.02.2020 directed the Petitioner to issue Notice prepared by the Registry to the Registrar of Chits, Karnataka, and to file proof of the same. Pursuant thereto, the Petitioner vide Affidavit dated 11.03.2020 affirmed compliance of the Order passed by the Tribunal dated 20.02.2020.

7. Pursuant to the notice issued, the Registrar of Companies, Karnataka vide report dated 29.06.2018 has *inter alia* observed as under:

(1) Transferor Company No.1, Transferor Company No.2 and Transferor Company No.3 are registered with ROC, Hyderabad, ROC Mumbai and ROC Chennai respectively.

(2) The Scheme (at Clause No.6(A) in Part IV) proposing for shifting of Registered Office of the Transferee Company from the State of Karnataka to the State of Tamil Nadu as integral part of the Scheme which falls under the jurisdiction of the Regional Director, Hyderabad. In the regard, Transferee Company shall file necessary forms and obtain approval of the Central Government (Powers delegated to the RD, SER, Hyderabad) for such shifting, after the Scheme.

(3) The Scheme at Clause No. 6(B) proposing for change of name of Transferee Company from its present name M/s. Shriram Chits (Karnataka) Pvt. Ltd. to M/s. Shriram Chits (India) Pvt. Ltd. In this regard, the Company shall file necessary forms with ROC and comply the provisions of the Companies Act, 2013.

(4) It is further observed that since the chit companies are controlled by Registrar of Chits of the concerned States, necessary approvals, may be obtained from the concerned authorities to the Scheme in the interest of public / chit holders.

(5) It is observed that at Clause No.10.3 in Part-V of the Scheme, it is mentioned that the Transferee Company is not required to pay any additional fee on the clubbing of authorized capital of the Transferor Companies with Transferee Company which is not acceptable in view of Section 232(3)(i) of the Companies Act, 2013. Hence, Transferee Company has to pay the differential fee if any after setting off the fee already paid by the Transferor Companies on their respective authorized capital.

(6) It is also observed that at Part-III of the Scheme Method of Accounting Treatment to be followed by the Transferee Company has not provided and also there is no auditor's report stating as to which accounting standard/method is going to be adopted for the Scheme in conformity with Section 133 of the Companies Act 2013.

(7) It is observed that a share exchange ratio has been recommended by Mr. R. Thyagarajan, Chartered Accountant, vide valuation report dated 16.08.2017 to the proposed scheme of Amalgamation as per Company's request. Whereas,

Board of Directors vide resolution passed on 16.08.2017 have considered a different share exchange ratio and adopted the same in the Scheme (at Clause No.9 of Part-V) for the reasons that the entire share capital of the Companies in the Scheme are held by single entity i.e. Shriram Ownership Trust and in order to keep the Transferee Company at service levels.

(8) It is further observed that there are prosecutions, complaints, and technical scrutiny pending in this office on the Transferee Company.

8. The Regional Director, MCA has filed an Affidavit dated 10.08.2018, while making similar observations as made by the ROC, has further observed as under:

(1) With respect to ROC's observations on shifting of registered office, the Petitioner Companies have to file the required e-forms under Section 13 of the Companies Act, 2013.

(2) ROC has observed that at Part-III on the Scheme Method of Accounting Treatment to be followed by the Transferee Company has not provided and also there is no auditor's report stating as to which accounting standard/method is going to be adopted for the Scheme in conformity with Sec.133 of the Companies Act 2013.

The Petitioner has referred to Certificate dated 04.06.2018 issued by M/s. V Narayan & Company, Chartered Accountants, Chennai certifying that the Scheme is in conformity with the Accounting Standards U/s 133 of the Companies Act, 2013. However the Scheme is silent on the same.

(3) It is also observed that as per Section 232(6) of the Companies Act, 2013, the Scheme under this Section shall clearly indicate an appointed date from which it shall be effective and the Scheme shall be deemed to be effective from such date and not at a date subsequent to the appointed date. However, Clause 1.1 (h) of the Scheme is contrary to Section 232(6) and needs modification.

The Petitioner has clarified that the 'Effective Date' has been specifically clarified due to the reason that there will always be some time gap between the scheme is approved by the Board and the appropriate statutory authority i.e. NCLT and that there is no inconsistency.

The Reply of the Company is accepted but the said clause 1.1 (h) as it stands in the Scheme is contrary to the clarification/intention of the Company.

(4) *As per Clause 3.2.1 (d) of the Scheme, the list of immovable properties of Transferor Companies which are proposed to be transferred to the Transferee Company is stated to have been furnished in Schedule 'A'. However, no such Schedule 'A' is attached to the Scheme. The Petitioner Company may be directed to submit the same. As all the Transferor Companies are situated in different states, the Petitioner Companies have to comply with the respective State laws in respect of payment of stamp duty for transfer of immovable properties if any.*

The Petitioner has stated that "the Applicant Company shall seek deletion of the words 'as more fully set out in Schedule 'A' hereto' in Clause 3.2.1 (d) of the Scheme as clause (d) covers all the immovable properties of the Transferor Companies."

(5) *As regards obtaining necessary approvals from concerned authorities to the Scheme in the interest of public/chit holders, the Petitioner has submitted that the Company shall obtain all necessary approvals as required under law on sanctioning of the Scheme, wherever applicable. The Chit Fund Act does not contemplate any requirement of prior approval. The cause no.3.2.4 of the Scheme takes care of all the agreements including the agreement entered into with the Chit Subscribers and thus, the interest of the Chit Subscribers is adequately protected. Hence, this observation need not be pursued further.*

(6) *As regards share exchange ratio, the Petitioner clarified that the entire share capital of all the 3 Transferor Companies and Transferee Company has been owned by one single entity (except for no. of shareholders required under law as applicable to private / public limited company). Hence, any share exchange ratio would not have made any difference, as no other shareholders interest is affected in view of the share exchange ratio. It is further submitted that the substantial shareholders in all the Petitioner Companies is 'Shriram Ownership Trust' which is Holding Company of all the Petitioner Companies. The Petitioner Company was called upon to submit full information on this Trust and its beneficiaries and when it has acquired the shares of all the Petitioner Transferor and Transferee Companies.*

The Petitioner Company vide its e-mail dated 30.07.2018 has furnished the dates of acquisition of the Transferor and Transferee Companies by the said 'Shriram Ownership Trust'. However, it has not furnished the details of the beneficiaries of this Trust along with the copies of its registration. Hence, the

Petitioner Company may be directed to produce copies of Trust Deed and its registration details.

9. Pursuant to the notice issued, the Registrar of Cooperative Societies and Registrar of Chits in Karnataka vide report dated 19.03.2020 has *inter alia* observed as under:

(1) As regard the Scheme in question this office has no objection subject to following conditions to the succeeding Company:

- *In the Form-1 filled under Karnataka Chit Fund Rules, 1983 with us for obtaining previous sanction requested for commencement of any Chit under The Karnataka Chit Fund Rules, 1983, will report the aggregate amount of all the chit amount as defined under the Act run by the Company including the Chits conducted by the Company in other States.*
- *The amount declared shall not be more than limit prescribed under the Act, which is presently 10 times of Net Owned Funds.*
- *All Chits conducted by the Company in the State of Karnataka shall be subject to exclusive jurisdiction of this office for compliance of Karnataka Chit Fund Act read with Rules made there under.*

10. In response to aforesaid observations of the ROC, the Petitioner vide reply Affidavit dated 04.12.2018, has *inter alia* stated as follows:

(1) As regards shifting of registered office of the Transferee Company from the State of Karnataka to State of Tamilnadu, it is stated that the Petitioner undertakes to file necessary forms for the shifting of the registered office. As regards seeking approval from the Central Government, they submit that Courts have repeatedly held that the approval U/s 391 of the Companies Act, 1956 (equivalent to Section 232 of the Companies Act, 2013) is a self-contained code and hence no separate approval from any other provisions of the Companies Act is required. In this regard, they relied upon the following decisions:

- *(2010) 154 Comp Cas 476: In the matter of Intertek Testing Services Private Limited.*
- *(2004) 122 Comp Cas 854: In the matter of Jaypee Cement Limited.*

(2) As regards change of name of Transferee Company, it is stated the Petitioner Company undertakes to file necessary forms with the ROC and comply with the provisions of Companies Act, 2013.

(3) *As regards obtaining necessary approvals from Registrar of Chits, it is stated that the Company shall obtain all necessary approvals as required under law on sanctioning of the Scheme, wherever applicable.*

(4) *As regards payment of additional fee on the clubbing of authorised capital, it is stated that the Petitioner Company undertakes to comply with the provisions of Section 232(3)(i) of the Companies Act, 2013.*

(5) *As regards the method of Accounting Treatment to be followed by the Transferee Company, it is stated that the Chartered Accountant certificate was duly enclosed in Page No.96 of the Petitioner's letter to the RD dated 13th July 2018.*

(6) *As regards share exchange ratio, it is stated that the entire share capital of all the 3 Transferor Companies and the Transferee Company has been by one single entity (except for number of shareholders required under law as applicable to private limited company / public limited company). Hence, any share exchange ratio would not have made any difference, as no other Shareholders interest is affected in view of the share exchange ratio. The exchange ratio was fixed keeping in mind to keep the share capital at the serviceable levels. The Board of Directors considered these aspects while fixing the share exchange ratio. Further, as has been held by various courts that share exchange ratio is a matter to be considered by the Shareholders in their commercial wisdom and the Shareholders of all the 4 Companies in the present case, completely accepted the share exchange ratio. In this regard, they relied upon the decision of the Hon'ble Supreme Court in Miheer H Mafatlal Vs. Industries Limited (1997) 1 Supreme Court Cases 579.*

11. In response to aforesaid observations of the RD, the Transferee Company vide Memo has *inter alia* stated as under:

(1) *As regards change in registered office and proposed change in the name of Transferee Company, it is stated that they shall file necessary e-forms with the ROC Bengaluru for shifting of registered office & proposed change in name.*

(2) *As regards increase in authorised share capital, it is stated that the additional fee payable for clubbing of the authorised share capital shall be in accordance with Sec. 232(3)(i) of the Companies Act, 2013.*

(3) *As regards Part-III of the Scheme, Method of Accounting Treatment to be followed by the Transferee Company, it is stated that Clause 3.1 of the Scheme*

specifically stated that the accounting treatment shall be as prescribed in Accounting Standards.

(4) As regards the Appointed Date, it is stated that Clause 1.1(c) of the Scheme specifies the 'Appointed Date' and Clause 1.1(h) specifies the 'Effective Date'. The above clause when read with Clause 3 shows that there is no contradiction.

(5) As regards Schedule A to the Scheme, it is stated that the term 'as more fully set out in Schedule 'A' hereto' was inadvertently inserted and there is, in fact, no Schedule A to the Scheme. The Applicant has agreed to deletion of the same in the Scheme and such deletion will have no material impact on the Scheme.

(6) As regards the approval of Registrar of Chits, it is stated that they will comply with all the requirements mentioned by the Registrar of Chits.

(7) As regards the Trust Deed of Shriram Ownership Trust, it is stated that they have provided a copy of the same to RD vide affidavit dated 26.09.2018.

12. Regarding the query raised by the Tribunal in respect of Share Exchange Ratio, it is stated that the shareholding pattern of all 4 companies that are part of this Scheme is provided for in page 138 and 139 of the CP. 99.99% of the entire share capital of all the 3 Transferor Companies and Transferee Company has been by one single entity i.e. the Shriram Ownership Trust. Hence, any share exchange ratio would not have made any difference, as no other Shareholders interest is affected in view of the share exchange ratio. The Board of Directors had fixed the share exchange ratio with the sole intention to keep the share capital at the serviceable levels. The same was also duly discussed and recorded at the board meeting of the Petitioner Company held on 16.08.2018. The extract of the said resolution is provided below :

"RESOLVED FURTHER that after taking into account the Valuation Report of Mr. R. Thiagarajan, Chartered Accountant, Chennai, and also considering the fact that almost the entire Share Capital of all four Companies involved in the Scheme are held by a single entity, i.e. Shriram Ownership Trust, and consequently any exchange ratio determined shall not be against the interest of the Shareholder of the Companies and in order to keep the Transferee Company at service levels, it is proposed that each of the Shareholder of all Transferor Companies shall be issued shares of the Transferee Company in the following manner:

- *For every one share of Rs.100/- each of Transferor Company 1, one equity share of Rs.100/- each of the Transferee Company.*
- *For Every ten shares of Rs.10/- each of the Transferor Company 2, one equity shares of Rs.100/- each of the Transferee Company.*
- *For every one share of Rs.100/- each of the Transferor Company 3, one equity share of Rs.100/- each of the Transferee Company"*

Thus, the Shareholder of the Transferor Companies and Transferee entity being Shriram Ownership Trust, the share exchange ratio will not affect the interest of the Shareholders of the Companies. Further, as has been held by various courts including the Hon'ble Supreme Court in the case *Miheer H Mafatlal Vs. Mafatlal Industries Limited – (1997) 1 Supreme Court Cases 579,* the share exchange ratio is a matter to be considered by the Shareholders in their commercial wisdom, and as the Board of Directors and Shareholders of all the 4 Companies in the present case have completely accepted the share exchange ratio and the scheme, the same should not be held to affect the interest of the Shareholders.

13. Regarding the query raised by this Tribunal in respect of Registrar of Chits, It is stated that it shall obtain all necessary approvals as required under law on sanctioning of the Scheme, wherever applicable. The Chit Fund Act however does not contemplate any requirement of prior approval from the Registrar of Chits or any other authority under the said Act. Further, it is important to note that Clause No.3.2.4 of the Scheme includes within its ambit all agreements including the agreements entered into by the Petitioner with the Chit Subscribers. Thus, the interests of the Chit Subscribers are duly and adequately protected. The Petitioner Company reproduced the said clause in the Scheme below:

"All contracts of the Transferor Companies including in particular Agreements of Chit entered into by each of the Transferor Companies with subscribers and all agreements & documents entered into pursuant to the same, including without limitation documents & agreements relating to creation of security, subsisting or having effect immediately before the Effective Date, shall stand transferred to any vested in the Transferee Company and be in full force and effect in favour of the Transferee Company and may be enforced by or against it as fully and

effectually as if, instead of the Transferor Companies, the Transferee Company had been a party or beneficiary or oblige thereto."

14. In response to aforesaid observations/report of the Registrar of Co-operative Societies and Registrar of Chits in Karnataka, the Transferee Company vide Affidavit dated 03.10.2020, has *inter alia* stated that it undertakes to comply with all the requirements mentioned by the Registrar of Chits, Karnataka in their response to the notice issued by the Tribunal by Order dated 20.02.2020.

15. Intimation of the Scheme of Amalgamation was sent to all relevant statutory authorities/regulators. Wherever no response has been received from the said authorities/regulators, it is deemed that they have no objection to the proposed Scheme.

16. Heard Mr. KG Raghavan, learned Senior Counsel along with Mr. Avinash Balachandran, learned Counsel for the Petitioner Company, Smt. Prema Hatti, learned Standing Counsel for the ROC & RD and Mr. Ganesh R. Ghale, learned Standing Counsel for the IT. We have carefully perused the pleadings of the Parties and extant provisions of the Companies Act, 2013, various Rules made thereunder.

17. The Transferor Companies Nos.1, 2 & 3 have filed Petitions before NCLT Benches having jurisdiction over them for sanction of the Scheme. Transferor Company No.1 had filed CP (CAA) No.437/230/HDB/2018 before the NCLT, Hyderabad for sanction of the Scheme which was allowed vide order dated 13.02.2019. Transferor Company No.2 had filed CP (CAA) 846/MB/2019 before the NCLT, Mumbai for sanction of the Scheme which was allowed vide order dated 26.05.2020. Transferor Company No.3 had filed CP/26/CAA/2018 in CA/188/CAA/2017 before the NCLT, Chennai for sanction of the Scheme which was allowed vide order dated 25.07.2018. Therefore, the Petitions filed by all the Transferor Companies have been allowed and the Scheme is sanctioned by the jurisdictional NCLT Benches, subject to sanction of the Scheme by other NCLT Benches.

18. We have considered the facts of the case as mentioned in the Petition and the relevant provisions contained in the Companies Act, 2013, and the Rules made thereunder. From a perusal of the material brought on record it appears that the Scheme of Amalgamation is fair, reasonable and is not detrimental to the Members or Creditors. The Scheme has not been opposed by the RD. As per the ROC, there are no prosecutions, complaints, technical scrutiny / inspections pending against the Petitioner Company. Also, the Registrar of Co-operative Societies and Registrar of Chits in Karnataka, vide report dated 19.03.2020 has expressed its no objection for the Scheme in question subject to complying with the requirements mentioned by it. Further, as per the Petition, the Scheme in question would enable consolidation and lead to a more efficient utilization of capital, and create a consolidated base for the future growth of the amalgamated entity, would have the necessary size, and bandwidth with large chit businesses across the country, and enable it to leave a much stronger and more significant footprint in this line of business and to achieve better cash flows. Hence, the Scheme appears to have been framed for commercial expediency and in the interest of the Petitioner Companies and all stakeholders.

19. The Scheme of Arrangement in the nature of Amalgamation proposed by a Company for commercial expediency and in its commercial wisdom cannot ordinarily be interfered with and has to be sanctioned if the relevant provisions of the Companies Act, 2013, are met and no prejudice is caused to any of the stakeholders. The Board of Directors of Transferee Company have in their meeting held on 16.08.2017 approved and adopted the Scheme of Amalgamation. The other requisite stakeholders have given their consent. Be that as it may, it is a settled position of law that any sanction to a Scheme of Amalgamation under the extant provisions of Companies Act, does not imply waiver of any liability or legal action for violation of the provisions of any Statute or the Rules made thereunder, or waiver from compliance to the conditions laid out in any statute, especially in the instant case to the Chit Funds Act, 1982 or to prevent any statutory authority form initiating action for any such violation.

20. On a consideration of the facts of the case as mentioned in the preceding paragraphs, which are not elaborated here again to avoid duplication and repetition, we are satisfied that the procedure specified in sub-sections (1) and (2) of Section 232 of the Companies Act, 2013 has been complied with, and hence the Scheme of Amalgamation, as approved by the Board of the Petitioner Company, can be sanctioned, as prayed, and in view whereof, this Tribunal passes the following further Order:

(1) The Scheme of Amalgamation (as annexed with this Petition) is hereby sanctioned and the Appointed Date of the Scheme shall be 01st April, 2017;

(2) Sanctioning the Scheme should not be construed as an order in any way granting exemption from payment of Stamp Duty, taxes or other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specially required under any law, and the same shall be dealt with by the respective Authority in accordance with the extant Laws and Rules governing such Duty, taxes or other charges, as applicable; and

(3) The Transferor Companies be transferred without further act or deed to the Transferee Company and accordingly, the same shall, pursuant to section 232 of the Companies Act, 2013, be transferred to and vest in the Transferee Company for all the state and interest of the Transferor Companies therein but subject, nevertheless, to all the charges now affecting the same; and

(4) All the liabilities including taxes, levies and charges, if any, and duties of the Transferor Companies be transferred without further act or deed to the Transferee Company and accordingly the same shall, to the extent they relate to the Transferor Companies, pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Transferee Company; and

(5) The tax implications, if any, specially under the Income tax Act, 1961, arising out of the Scheme are subject to final decision of concerned Tax Authorities and the decision of the concerned Tax Authorities shall be binding on the Transferee Company; and

(6) All the proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company, if any; and

(7) Petitioner Company shall forthwith file all the due Statutory Returns immediately, if any; and

(8) The Petitioner Company is directed to file the amended MoA and AoA with the Central Government; and as undertaken by it file the requisite e forms for shifting of office as well as change of name from its present name M/s. Shriram Chits (Karnataka) Pvt. Ltd. to M/s. Shriram Chits (India) Pvt. Ltd., and obtain approval of the Central Government (Powers delegated to the RD, SER, Hyderabad) for such shifting, and change of name, respectively; and

(9) The Petitioner Company shall ***within thirty days of the date of the receipt of this Order*** *cause a certified copy of this Order along with a copy of the Scheme to be delivered to the Registrar of Companies Karnataka for registration in accordance with applicable rules and regulations; and*

(10) The Petitioner Company will ensure full compliance of their Affidavits/ undertakings, especially with regard to compliance under the Chit Funds Act, 1982 and including compliances with regard to section 133, section 135, section 188, and all other provisions of the Companies Act, 2013, as may be applicable, and will submit Quarterly / Annual Status of compliances through an Affidavit by Managing Director / Director of the Company along with CA/ICWA/CS Certificate till the compliance is ensured;

(11) The Petitioner Company or its Authorized Signatories are directed that after the completion of the process of Amalgamation, to handover the possession of the Books of Accounts and other relevant

documents of the Transferor Companies to the Transferee Company for the purpose of sec. 239 of the Companies Act, 2013;

(12) This Order is limited to the Scheme of Amalgamation, and it will not come in the way of Registrar of Companies or any other authority to take appropriate action(s) in accordance with law, for any other violations / offences, if any, committed by the Company or any of its personnel prior or during the approval of the Scheme;

(13) If any of the Companies party to this Scheme contravene any of the provisions of section 232, they shall be liable to be punished with fine as contemplated in section 232(8) of the Act;

(14) Any person shall be at the liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

(15) Accordingly, CP (CAA) No.20/BB/2018 is disposed of as above along with pending IAs, if any.

ASHUTOSH CHANDRA
MEMBER, TECHNICAL

RAJESWARA RAO VITTANALA
MEMBER, JUDICIAL

Puja